

Cloud computing – AI's best friend

- The cloud will continue to be the wind beneath the wings of AI, and so there will be an increased focus on fortifying and expanding cloud computing infrastructure and services.
- McKinsey estimates global demand for data centre capacity to increase at an annual rate of 19 to 22% from 2023 to 2030. This also means a humongous amount of energy to run, and water to cool the data centres! Companies must figure out how to tackle these problems to meet their sustainability goals.
- Cloud service providers have also started using quantum processors as part of their infrastructure.
- Quantum-as-a-service initiatives are expected to grow to serve more research communities across the world in fields like drug discovery and weather modelling.
- Custom AI chips and improved AI models (with lower inference latency and costs) have made it possible to run AI on edge devices. But, Deloitte forecasts that in 2026, most inference is still likely to take place in data centres using costly, power-intensive AI chips rather than on inexpensive chips at the edge.



- There is a growing tendency for cloud repatriation. That is, companies are trying to shift their operations to private, on-premise data centres, or cloud providers with data centres within their national jurisdiction, for improved privacy and security, and to prevent potential disruptions due to changes in the geopolitical landscape.

Smart entities in the real world – robots, drones, and more



- From drones and defence equipment to checkout kiosks at supermarkets, a lot of things around us are going to glitter with smartness in the coming year, thanks to advancements in AI, computing, and telecommunications.
- Edge AI and advanced sensors will give the Internet

of Things (IoT) a boost. We are likely to see progress in several 'smart' projects, including smart cities, water management, and more!

- Advanced sensor technology and edge AI will help improve robotic capabilities. AI will also be used extensively to train robots.
- According to a Deloitte 2026 trends report, the cumulative installed base of global industrial robots is estimated to surpass 5.5 million by 2026.
- Drones are expected to get smarter too. With AI features, it is expected that drones will be able to perceive potential risks or red flags in real time and alert the relevant stakeholders.
- Drones-as-a-service market is also expected to increase this year.
- The beyond visual line of sight capabilities of drones have vastly improved, and are set to be put to good use in 2026, for last-mile deliveries, defence operations, security, surveillance, and so on.
- Morgan Stanley sees 2026 as a good year for the commercialisation of autonomous vehicles (AVs), with 33 cities in the US expected to launch services this year. On-road trials of AVs in Europe are expected to begin this year.